

Japan Daily Brief

Friday, September 11, 2026

2,373 words · 9 min read

RE: BOJ rate hike imminent · Bessent BOJ credibility row · Nikkei -3.6% · Nuclear sub option · Okinawa polls · China visa fees

NIKKEI 225
64,011.34
▼ -3.60%

USD/JPY
153.97
▼ -1.43%

BRENT
\$103.50
▲ +5.70%

BOJ RATE
1.25%

• TODAY AT A GLANCE

- 1 BOJ is set to raise its policy rate to 1.25% next week — the highest level in 31 years — with multiple Reuters and Nikkei Asia sources confirming the decision, even as BOJ Governor Kazuo Ueda declined to comment on market pricing.
- 2 Defense Minister Shinjiro Koizumi declined to rule out nuclear submarine acquisition at a press conference, framing it as an option not excluded from Japan's defense planning.
- 3 The Nikkei dropped *more than 3 percent* in morning trading, driven by surging crude oil prices and rising global bond yields, with Japan's 10-year JGB yield hitting 1.50 percent and government pledging to monitor markets with extreme vigilance.

• TOP STORIES

ECONOMY-BOJ

BOJ set to raise rates to 25-year high of 1.25% next week; Bessent comments spark independence debate

Multiple sourced reports from Nikkei Asia and Reuters confirm the Bank of Japan is expected to raise its policy rate by 25 basis points to 1.25% at next week's meeting — the highest level since 1995 — while declining to signal a terminal rate. The Financial Times separately reports that US Treasury Secretary **Scott Bessent's** public declarations claiming insider knowledge of BOJ plans have prompted banker warnings that the statements risk undermining market perceptions of BOJ independence.

per Nikkei Asia: "Bank of Japan set to raise policy rate to 1.25% next week"

NIKKEI ASIA

DEFENSE

Defense Minister Koizumi declines to rule out nuclear submarine acquisition for Japan

Defense Minister **Shinjiro Koizumi** stated at a press conference that Japan does not exclude nuclear submarine possession as an option, the latest rhetorical expansion of Japan's defense posture under the

Takaichi government's accelerated buildup agenda. The statement comes as Japan's SDF simultaneously conducted its first-ever overseas firefighting deployment to Indonesia.

per Asahi: "原子力潜水艦の保有「選択肢として排除せず」 小泉防衛相、会見で"

ASAHI

ECONOMY-BOJ

Nikkei plunges over 3% as oil spike and rising bond yields trigger global selloff

Tokyo stocks fell sharply, with the Nikkei briefly dropping more than 3 percent in morning trading, as West Texas Intermediate crude surged and US 10-year Treasury yields topped 4.96%, driving Japan's 10-year JGB yield to 1.50 percent. The government pledged to monitor bond market moves with an 'extremely high' sense of urgency as Finance Minister Katayama reaffirmed close communication with the US on currency policy.

XINHUA

CHINA-JAPAN

China raises visa fees for Japanese citizens, citing reciprocity principle

China's Foreign Ministry confirmed Beijing has raised visa fees for Japanese citizens on the basis of reciprocity, the latest economic-pressure measure in an escalating pattern of Chinese retaliatory trade and administrative steps directed at Japan. The move follows China's September imposition of anti-dumping measures on Japanese dichlorosilane.

GLOBAL TIMES

• OVERNIGHT

-
- ECONOMY-BOJ** Bessent's BOJ intervention risks eroding central bank's perceived independence, bankers warn — US Treasury Secretary Scott Bessent's public claims of insider knowledge about the BOJ's rate-hike plans have drawn warnings from bankers that such statements could erode market perceptions of the central bank's independence. The FT reports the concern centers on whether Bessent's 'I am the house now' declaration creates a perception that the US Treasury has advance access to BOJ deliberations. · FT
-
- POLITICS-DIET** LDP-backed Koja holds slight lead over incumbent Tamaki in Okinawa gubernatorial race — Media polls show LDP-backed challenger Koja with a slight edge over incumbent Okinawa Governor Denny Tamaki ahead of the gubernatorial election, with the two candidates described as neck and neck. A Koja victory would realign Okinawa's political stance on US base issues at a moment when Bloomberg reports the China threat is eroding Japanese anger over US military presence. · The Japan Times
-
- TECHNOLOGY** Japan's Digital Agency discloses possible personal data leak after unauthorized network access — Japan's Digital Agency reported that personal information may have been leaked following unauthorized access to a government network, though no confirmed misuse had been detected as of the disclosure. The breach raises questions about the security posture of government digital infrastructure as Japan accelerates its digitization agenda. · The Japan Times
-
- INDO-PACIFIC** Japan SDF deploys firefighting equipment to Indonesia's Borneo — a first for overseas SDF operations — Japan's Self-Defense Forces dispatched firefighting equipment to Indonesia's Borneo to help combat wildfires

generating toxic haze, the first overseas SDF deployment specifically for firefighting purposes. The operation reflects Japan's expanding use of SDF capacities for non-combat regional assistance missions. · Washington Post

POLITICS-DIET Japan's opposition force collapses, cementing Takaichi's domestic political position — Bloomberg reports Japan's opposition alliance has collapsed along founding party lines, with the LDP now eyeing renewed cooperation with former coalition partner Komeito. The realignment further consolidates PM Takaichi's governing position ahead of the October 5 extraordinary Diet session. · Bloomberg

CHINA-JAPAN Russia screens anti-Japan WWII film in Taipei; Taiwan alarmed by China 'new militarism' coordination — Taipei said it believes Russia screened the Soviet-era documentary 'Smashing Militarist Japan' to a small Taipei audience to support China's propaganda campaign framing Japan's defense buildup as 'new militarism.' The incident adds a Russia-China coordination dimension to the sustained information operations pressure on Japan's defense posture. · The Japan Times

• STAT OF THE DAY

7.6%

Japan wholesale price inflation, August 2026 (3rd consecutive month above 7%)

Japan's Corporate Goods Price Index rose 7.6 percent year-on-year in August, remaining above 7 percent for the third consecutive month, reinforcing the case for a BOJ rate hike next week.

Japan Aug. wholesale prices up 7.6%, remain above 7% for 3rd month in row — Mainichi

REGIONAL PRESSURE WATCH

Normal — 19 items

PM Watch: No confirmed PM appearance today · 2 day(s) since last confirmed appearance

CHINA

China's Foreign Ministry confirmed Beijing raised visa fees for Japanese citizens on reciprocity grounds, the latest in an accelerating sequence of economic-pressure measures following September's anti-dumping levies on Japanese dichlorosilane. Russia separately screened a Soviet anti-Japan WWII documentary in Taipei in what Taiwan's government assessed as coordinated support for Beijing's 'new militarism' narrative against Japan's defense buildup.

NORTH KOREA

Chief Cabinet Secretary Kihara stated Japan will address the abductee issue firmly at any North Korea summit, reaffirming Tokyo's position as diplomatic signals around a potential Japan-DPRK leadership meeting continue to circulate. Breaking Defense and UA.NEWS reporting highlighted Japan and South Korea's accelerating naval buildup explicitly in response to North Korea's recent destroyer commissionings and China's naval expansion.

RUSSIA

The Equal Earth UN world map dispute — in which the newly UN-endorsed projection shaded Japan's claimed Northern Territories the same color as Russia — prompted a Japanese government demand for correction and the mapmaker's agreement to recolor the islands, extending the sustained Russia-Japan symbolic-provocation pattern following Putin's Etorofu visit and the Khabarovsk statue standoff.

Senkaku / ECS: No new Senkaku CCG intrusion or acute East China Sea incident appears in today's articles; the prior streak of JASDF scrambles in response to Chinese reconnaissance aircraft flights near Japanese airspace continues as the standing baseline.

"Japan aims to address abduction issue firmly at North Korea summit"

Chief Cabinet Secretary Minoru Kihara · Japan aims to address abduction issue firmly at North Korea summit, top govt spokesperson says — [reuters.com](#)

Bottom line: China's visa fee hike on Japanese nationals — following the dichlorosilane anti-dumping measures — marks a broadening of economic-coercion tools targeting Japan; combined with the Russia-Taiwan coordination on anti-Japan propaganda, the pressure campaign is expanding across multiple vectors simultaneously.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 10, 2026	50.2%	33.9%
Yomiuri · Sep 5, 2026	56%	32%
FNN · Sep 5, 2026	62.5%	32%
NHK · Sep 10, 2026	52.8%	33.2%

Discourse: Cabinet reshuffle planning for September 17 — the first to include a Japan Innovation Party member — and an opposition alliance collapse are reshaping the parliamentary arithmetic ahead of the October 5 extraordinary Diet session, with the Takaichi government moving to consolidate its position.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• UPCOMING

Sep
13

Japan-China parliamentary friendship delegation departs for Beijing

A cross-party delegation of younger Diet members from the Japan-China Parliamentary Friendship League is set to travel to China beginning September 13 for parliamentary diplomacy, per Asahi Shimbun.

Sep
17

Takaichi cabinet reshuffle — JIP member expected to join for first time

PM Takaichi is eyeing a cabinet reshuffle on September 17, with Kyodo News sources reporting the Japan Innovation Party is expected to receive its first cabinet post. The reshuffle is framed around installing US-savvy ministers ahead of ongoing trade negotiations.

Sep
17

BOJ Monetary Policy Meeting — rate hike to 1.25% widely expected

The Bank of Japan is expected to raise its policy rate by 25 basis points to 1.25% at its upcoming meeting, which would mark the highest rate level in 31 years. Multiple sources and market pricing confirm the expectation, though the BOJ has not pre-committed.

Sep
22

PM Takaichi to address UN General Assembly in New York

PM Takaichi is confirmed to speak at the UN General Assembly on September 22, per prior reporting in this digest. Her address is expected to cover Japan's security posture and international contributions.

Oct
5

Extraordinary Diet session opens

An extraordinary Diet session is expected to convene October 5, per Kyodo News sources, following the September 17 cabinet reshuffle. Diet business is expected to include legislative priorities of the Takaichi government including the food consumption tax reduction bill.

• JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · FRIDAY, SEPTEMBER 11, 2026

日本銀行 · BANK OF JAPAN

BOJ releases August Corporate Goods Price Index showing 7.6% wholesale inflation

Japan's wholesale prices rose 7.6 percent year-on-year in August, the third consecutive month above 7 percent, providing additional data supporting the case for a near-term rate hike.

→ Bank of Japan ↗

日本銀行 · BANK OF JAPAN

BOJ publishes CBDC pilot program progress report (June 2026) and holds sixth CBDC Forum general meeting

The BOJ released a progress report on its central bank digital currency pilot program covering June 2026 and convened the sixth general meeting of the CBDC Forum, continuing its multi-year examination of a potential digital yen.

→ Bank of Japan ↗

財務省 · MINISTRY OF FINANCE · *Satsuki Katayama, Finance Minister*

Finance Minister pledges close US communication on currency; MOF to watch bond market with 'extremely high' vigilance

Finance Minister **Satsuki Katayama** told Reuters Japan would maintain close communication with the United States on currency markets. Separately, the government spokesman announced Japan would monitor bond market moves with an 'extremely high' sense of urgency after the 10-year JGB yield rose.

→ Reuters ↗

財務省 · MINISTRY OF FINANCE

MOF announces issuance of commemorative coin for EXPO 2027 Yokohama

The Ministry of Finance announced the issuance of a commemorative coin for the EXPO 2027 YOKOHAMA JAPAN.

→ MOF ↗

防衛省 · MINISTRY OF DEFENSE

MOD announces Defense Parliamentary Vice Minister Wakabayashi's overseas travel

The Ministry of Defense announced overseas travel plans for Defense Parliamentary Vice Minister Wakabayashi.

防衛省 · MINISTRY OF DEFENSE

MOD announces third Japan-ASEAN Women, Peace and Security cooperation project

The Ministry of Defense announced details of the third Japan-ASEAN Women, Peace and Security (WPS) cooperation project.

外務省 · MINISTRY OF FOREIGN AFFAIRS

MOFA lowers travel warnings for Israel, two other Middle East nations, and Palestine

Japan's Foreign Ministry lowered travel warnings for parts of Israel, two other Middle Eastern countries, and Palestine, reflecting an assessed improvement in the security environment in those areas.

→ Mainichi ↗

内閣官房長官 · CHIEF CABINET SECRETARY · *Minoru Kihara, Chief Cabinet Secretary*

Chief Cabinet Secretary demands correction to Equal Earth UN world map over Northern Territories depiction

Chief Cabinet Secretary Kihara confirmed Japan has demanded the mapmakers correct the Equal Earth projection map — adopted by the UN General Assembly — which shaded Japan's claimed Northern Territories the same color as Russia. The mapmaker subsequently agreed to recolor the disputed islands.

→ Japan Forward ↗

PERSONNEL CHANGES

TBD — one Japan Innovation Party member **NOMINATED**

Cabinet (multiple posts, details TBD)

PM Takaichi is planning a cabinet reshuffle on September 17 that is expected to include one Japan Innovation Party member receiving a cabinet post for the first time, per Kyodo News sources. Full lineup not yet announced.

DIET SESSIONS / LDP

DEMOCRATIC PARTY FOR THE PEOPLE (DPP)

DPP retains core leadership structure; establishes panel to investigate ballot irregularity in party leader election

Japan's Democratic Party for the People announced its new executive lineup will maintain the overall existing structure, while establishing a verification committee to investigate problems with voting ballots in the party's recent leadership election.

JAPAN-CHINA PARLIAMENTARY FRIENDSHIP LEAGUE

Young-lawmaker delegation from Japan-China friendship diet group departs for China on September 13

A cross-party delegation of younger Diet members from the Japan-China Parliamentary Friendship League is set to visit China beginning September 13 for parliamentary-level diplomacy, per Asahi Shimbun.

• BUSINESS & ECONOMY

MACRO · BLOOMBERG · BANK OF JAPAN

Japan's August wholesale inflation stays elevated at 7.6%, backing BOJ rate hike case

Japan's producer prices rose *7.6 percent* year-on-year in August, the third consecutive month above 7 percent, providing sustained data support for the BOJ's expected rate hike to 1.25% next week. Bloomberg notes the elevated inflation backdrop reduces the BOJ's room to delay normalization.

MANUFACTURING · NIKKEI ASIA

Yen's rapid appreciation catches Japan manufacturers off guard

Japan's manufacturers have been caught off guard by the yen's recent upswing, with the currency strengthening faster than companies had embedded in their export-revenue assumptions, according to Nikkei Asia. The yen traded at 153.97 to the dollar on September 11, having strengthened *1.43 percent* on the day.

MACRO · THE JAPAN TIMES

Business sentiment turns positive among large Japanese firms in July-September quarter

A government business survey found sentiment turning positive among large Japanese firms in the July-September quarter, with stronger semiconductor-related demand and increased hotel and restaurant customers cited as key drivers. Two-thirds of Japan firms separately reported supporting PM Takaichi's economic policies, per Reuters.

• INDO-PACIFIC

KOREA-JAPAN · BREAKING DEFENSE

Japan and South Korea accelerate naval buildup in response to China's maritime expansion

Breaking Defense reports Japan and South Korea are systematically building up naval capabilities, including destroyer and submarine programs, driven explicitly by the growth of China's naval power and the commissioning of North Korea's new guided-missile destroyers.

TRILATERAL · INDOPACOM

Yama Sakura 91 exercise closes in Japan, affirming Pacific alliance cohesion

INDOPACOM announced the conclusion of Yama Sakura 91, a US-Japan bilateral command-post exercise held in Japan, describing the exercise as demonstrating cohesive commitment to allied deterrence in the Pacific.

• THE WIRE

DIPLOMACY

THE GUARDIAN

Japan protests UN Equal Earth map depicting Northern Territories as Russian; mapmaker agrees to fix

Japan demanded revision of the UN-endorsed Equal Earth projection map, which shaded Japan's claimed Northern Territories the same color as Russia; the mapmaker subsequently agreed to recolor the disputed islands.

ALLIANCE

BLOOMBERG

China threat eroding Japanese anger over US bases ahead of Okinawa gubernatorial vote

Bloomberg reports that growing concern over China's military posture is softening opposition to US base presence in Japan ahead of the Okinawa gubernatorial election, with polls showing LDP-backed challenger Koja in a slight lead over incumbent Governor Denny Tamaki.

TECHNOLOGY

THE JAPAN TIMES

Japan to establish AI-powered agriculture special zones in Hokkaido, permitting driverless tractor convoys

Japan announced plans to create special agricultural zones in Hokkaido where autonomous tractors will be permitted to travel on public roads without a driver while moving in convoy, as part of an AI-driven precision agriculture initiative.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

[Read online](#)

[Past issues](#)

You are receiving the Japan Daily Brief as a member of the CSIS Japan Chair distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Deirdre Martin at dmartin@csis.org.

generated 7:07 AM ET

[↑ BACK TO TOP](#)